Morgan Stanley | RESEARCH

UPDATE

November 6, 2026 06:02 PM GMT

E Ink Holdings Inc. | Asia Pacific

3Q26 Missed on Margins

AlphaSignals Earnings Reaction

Unchanged	Modest shortfall	Modest revision lower
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

No strong near-term catalysts despite trough valuation.

3Q26 results:

- Off revenue of NT$9,936mn (-3% QoQ/-5% YoY), GM declined 6.5ppt QoQ to 52.2%, significantly below MSe at 57.6%/consensus at 58.0%. We think this is probably due to less-favorable revenue mix.
- Operating profit of NT$2,643mn (OPM 26.6%) was 21% lower than MSe at NT$3,330mn (OPM 33.4%)/19% off consensus at NT$3,281mn (OPM 33.6%).
- Net profit at NT$2,652mn (EPS of NT$2.31) was 24% below MSe at NT $3,491mn (EPS NT$3.03)/20% off consensus at NT$3,307mn (EPS NT$2.79).

October revenue was NT$3,747mn (+4% MoM/+74% YoY):

- 33% of both our 4Q26 revenue estimate at NT$11,459mn (+15% QoQ/+63% YoY) and consensus of NT$11,263mn (+13% QoQ/+61% YoY).

Other announcements (see more in Other announcements):

- E Ink announced spending of NT$2.78bn acquiring the land and factories in Guanyin (Taiwan) from its related party Chunghwa Pulp for its large-size signage capacity.
- It partners with Taiflex for the latter to do CCL pilot production at E Ink's facility, with potentially room for collaboration on mass production in the future.
- It announced it would invest NT$187mn in the rights issuance from its related party SinoPac FHC.

Our view:

- 4Q26 revenue will need to grow by 10% QoQ to put overall 2026 revenue at 10% YoY (low end of its guidance at 10-15% YoY), which implies Nov-26 and Dec-26 could be down low single digits % MoM each. While it still looks within reach, we suspect this is at least partially riding the tailwinds of more module shipments, which might continue to suppress its gross margin.
- Although the valuation is at a trough level of 11x 2027e P/E, we see no strong catalysts in the near term except for the potential fund flows amid the subdued AI appetite. That said, we remain a believer of longer-term e-paper demand across various applications.
- 3Q26 earnings call is scheduled at 2:30pm HKT on November 12.

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E Ink Holdings Inc. (8069.TWO, 8069 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	NT$150.00
Up/downside to price target (%)	5
Shr price, close (Nov 6, 2026)	NT$142.50
52-Week Range	NT$251.00-129.00
Sh out, dil, curr (mn)	1,150
Mkt cap, curr (mn)	NT$163,899
EV, curr (mn)	NT$169,456
Avg daily trading value (mn)	NT$1,354

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	9.14	11.57	12.57	14.77
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	10.09	11.36	12.94	14.95
Revenue, net (NT$ mn)	36,116	40,294	46,095	53,387
EBITDA (NT$ mn)	13,458	16,276	18,570	21,698
ModelWare net inc (NT $ mn)	10,515	13,307	14,457	16,987
P/E	21.7	12.3	11.3	9.6
P/BV	3.3	2.2	2.0	1.8
RNOA (%)	13.8	14.4	16.5	19.4
ROE (%)	18.2	19.0	18.9	20.7
EV/EBITDA	17.5	10.1	8.5	7.0
Div yld (%)	3.0	5.3	5.7	6.7
FCF yld ratio (%)**	4.2	7.7	8.3	9.7
Leverage (EOP) (%)	2.1	(5.7)	(11.2)	(17.4)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
§ = Consensus data is provided by Refinitiv Estimates
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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3Q26 Results and Other Announcements

3Q26 results

- Off revenue of NT$9,936mn (-3% QoQ/-5% YoY), gross margin declined by 6.5ppt QoQ to 52.2%, significantly below MSe at 57.6% and consensus at 58.0%. We think this is probably owing to a less-favorable revenue mix.
- Opex was NT$2,548mn (+4% QoQ/+16% YoY; opex ratio of 25.6%) vs. slightly higher than MSe at NT$2,416mn (opex ratio 24.2%) and consensus at NT$2,386mn (opex ratio 24.4%).
- Operating profit of NT$2,643mn (OPM 26.6%) was 21% lower than MSe at NT $3,330mn (OPM 33.4%) and 19% below consensus at NT$3,281mn (OPM 33.6%).
- With smaller non-operating income of NT$406mn, net profit came in at NT $2,652mn (EPS of NT$2.31), 24% lower than MSe at NT$3,491mn (EPS of NT$3.03) and 20% below consensus at NT$3,307mn (EPS of NT$2.79).

Exhibit 1: Results Summary

	3Q26E Results			MS estimates	Variance	Consensus	
NT$mn	**Actual**	**QoQ**	**YoY**				**Variance**
Net sales	**9,936**	**-3%**	**-5%**	**9,985**	**0%**	**9,774**	**2%**
COGS	-4,745	13%	3%	-4,238	12%	-4,107	16%
Gross profit	**5,191**	**-13%**	**-11%**	**5,747**	**-10%**	**5,667**	**-8%**
Operating expenses	-2,548	4%	16%	-2,416	5%	-2,386	7%
Operating income	**2,643**	**-25%**	**-27%**	**3,330**	**-21%**	**3,281**	**-19%**
Non-operating income	406	-61%	-74%	1,010	-60%	729	-44%
Pre-tax income	3,048	-33%	-41%	4,340	-30%	4,009	-24%
Net income	**2,652**	**-29%**	**-37%**	**3,491**	**-24%**	**3,307**	**-20%**
EPS (NT$)	**2.31**	**-29%**	**-37%**	**3.03**	**-24%**	**2.79**	**-17%**
Margins (%)		***ppt***	***ppt***		***ppt***		***ppt***
Gross margin	52.2%	-6.5	-3.7	57.6%	-5.3	58.0%	-5.7
Operating margin	26.6%	-8.1	-8.3	33.4%	-6.8	33.6%	-7.0
Pre-tax margin	30.7%	-14.1	-19.2	43.5%	-12.8	41.0%	-10.3
Net margin	26.7%	-9.9	-13.9	35.0%	-8.3	33.8%	-7.1

Source: Company data, FactSet consensus, Morgan Stanley Research estimates

October monthly sales

- October revenue was NT$3,747mn (+4% MoM/+74% YoY), reaching 33% of both our 4Q26 revenue estimate at NT$11,459mn (+15% QoQ/+63% YoY) and consensus' NT$11,263mn (+13% QoQ/+61% YoY).

Other announcements

- E Ink announced it would spend NT$2.78bn acquiring land and factories in Guanyin (Taiwan) from its related party Chunghwa Pulp (1905.TW, NC) for its large-size signage capacity.
- It partners with Taiflex (8039.TW, NC) for the latter to do pilot production of CCL at E Ink's facility, with potentially room for collaboration on mass production in the future.
- It announced it would invest NT$187mn in the rights issuance from its related

party SinoPac FHC (2890.TW, not covered), with the potential to subscribe up to another NT$1bn worth of shares that SinoPac's existing shareholders refuse to subscribe. As of now, E Ink and its subsidiaries collectively own 3.08% of SinoPac (NT$5.35bn of book value).

Valuation Methodology and Risks

E Ink Holdings Inc. (8069.TWO)

Base case, 12x 2027e P/E. We believe this valuation methodology best captures E Ink's earnings growth momentum. We view our target multiple of 12x as fair, considering our estimated 17% earnings CAGR for 2025-28. The implied PEG of 0.7x is largely in line with its typical level in 2022-25, when the stock was trading at an average P/E of 22x one-year forward consensus EPS with a 37% earnings CAGR.

Risks to Upside

- Firmer-than-expected ESL orders
- Stronger demand for e-readers and e-notes
- Better macro conditions
- Milder competition
- Brisker inventory digestion

Risks to Downside

- Softer-than-expected ESL orders
- Slower demand for e-readers and e-notes
- Macro headwinds
- Intensified competition
- More protracted inventory digestion

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(as of October 31, 2026)
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Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

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Price Target History: 6/23/22 : 275; 8/17/22 : 280; 11/15/22 : 200; 3/9/23 : 185; 5/17/23 : 250; 11/16/23 : 217; 2/19/24 : 249; 3/7/24 : 280; 4/30/24 : 200; 6/10/24 : 260; 8/2/24 : 360; 5/8/25 : 250; 5/22/25 : 240; 8/8/25 : 280; 8/14/25 : 310; 11/19/25 : 265; 1/7/26 : 205; 5/11/26 : 250; 8/10/26 : 150

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/06/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$37.64
Accelink Technologies Co. Ltd. (002281.SZ)	O (11/06/2026)	Rmb91.30
BYD Electronics (0285.HK)	O (04/28/2023)	HK$21.40
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.00
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.54
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb172.10
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$825.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb24.61
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.01
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb35.25
Huaqin Co.,Ltd. (3296.HK)	O (11/06/2026)	HK$54.35
Largan Precision (3008.TW)	O (10/13/2026)	NT$4,480.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.16
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.63
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.55
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$49.06
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb50.05
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb5.66
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.43
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb77.29
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$35.68
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb65.00
Sunny Optical (2382.HK)	E (03/23/2026)	HK$64.05

Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb122.00
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb11.49
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$30.38
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb240.00
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$86.05
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb104.43
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb23.84
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb448.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$569.50
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.06
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb28.20
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,280.00
Advantech (2395.TW)	O (01/20/2021)	NT$552.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,010.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,310.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$26.55
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,055.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,325.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.46
Chenbro (8210.TW)	O (07/23/2025)	NT$546.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,205.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,055.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$142.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$56.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,690.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$274.50
Innolux (3481.TW)	E (04/07/2025)	NT$36.05
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$7,565.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb27.01
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$198.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.57
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.60
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$29.00
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$859.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$183.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$31.50
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$3,820.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$2.91
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb40.71
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$298.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$813.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$224.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb55.12
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$30.40
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$1,750.00
Lenovo (0992.HK)	O (07/10/2026)	HK$18.81
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,585.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$875.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$92.90
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$290.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb70.49
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb199.92
Unimicron (3037.TW)	O (02/23/2026)	NT$727.00

Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$319.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$160.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,555.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$374.00
Zhen Ding (4958.TW)	++	NT$373.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$303.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$906.00

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